

Grace Townhomes — Cost Segregation Study Discrepancy Report

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Entity: Grace Townhomes Housing, LLC

EIN: 47-5360069

Property: 1212 Grace Circle, Ennis, TX 75119

FYE: December 31, 2024

Sources: 2023 Federal Tax Return, 2024 Federal Tax Return, CSSI Cost Segregation Study (April 1, 2026)

Executive Summary

A cross-examination of the Grace Townhomes 2023 and 2024 Federal Tax Returns (Depreciation and Amortization Reports) against the CSSI Cost Segregation Study (dated April 1, 2026) has revealed **four material findings** that require attention before the reconciliation schedule can be finalized and before any amended return or Form 3115 is filed.

The most critical finding is that the study applied its pro-rata allocation ratio to **Asset #4 Equipment (696,299)** rather than ****Asset #9 Equipment** (12,872)**, resulting in a study amount for Asset #9 that is **8.45 times larger** than the asset's actual tax return basis. Additionally, Asset #4 Equipment — a **696,299 five-year property asset** — is ****entirely absent**** from the cost segregation study. A fourth finding is that Asset #3 (Land Improvements) appears on ****two separate lines**** across both tax years, with a combined basis of 498,768 — yet the study covers only \$60,048 (12%) of that total.

Section 1 — 2023 vs. 2024 Tax Return: Year-Over-Year Comparison

The asset structure is **identical** between the 2023 and 2024 returns. All assets, cost bases, methods, and lives are unchanged. The only differences are in the current-year depreciation amounts, which reflect normal year-over-year progression.

Asset #	Description	Date Acquired	Method	Life	Cost Basis	2023 Depr	2024 Depr	Change
11	LAND – 754 MT	01/01/20	Non-depr	—	\$315	\$0	\$0	—
12	LAND IMPROVEMENTS – 754 MT	01/01/20	150DB	15 yr	\$1,209	\$93	\$84	-\$9
13	BUILDING – 754 MT	01/01/20	SL	27.5 yr	\$12,841	\$467	\$467	—
2	Land	12/17/15	Non-depr	—	\$100,000	\$0	\$0	—
3	Land Improvements (line 1)	12/17/15	150DB	15 yr	\$114,365	\$560	\$551	-\$9
3	Land Improvements (line 2)	12/17/15	150DB	15 yr	\$384,403	\$22,680	\$22,718	+\$38
1	Building	12/17/15	SL	27.5 yr	\$4,074,676	\$148,170	\$148,170	—
5	Building	01/14/16	SL	27.5 yr	\$7,421	\$270	\$270	—
4	Equipment	12/17/15	200DB	5 yr	\$696,299	\$0	\$0	—
9	Equipment	12/14/18	200DB	5 yr	\$12,872	\$0	\$0	—
6	Organization Costs	12/17/15	709	180M	\$9,660	\$644	\$644	—
10	Loan Fees	05/16/19	461	84M	\$70,766	\$10,109	\$10,109	—
Grand Total					\$5,370,462	\$182,433	\$182,462	+\$29

Observations:

The 29 increase in total depreciation from 2023 to 2024 is attributable to the declining-balance method on the two Land Improvement lines (Asset #3). The 150DB method produces slightly different amounts each year as the declining balance applies to the remaining adjusted basis. All straight-line assets (Buildings #1, #5, #13) are unchanged. All equipment assets (#4, #9) show 0 current-year deduction in both years — Asset #4 is fully depreciated (5-year asset placed 2015, fully depreciated by ~2020) and Asset #9 has its full basis reduced (Reduction in Basis = \$12,872 in both years, indicating an ITC or other basis reduction).

Continuity check — 2023 ending accumulated depreciation carries forward correctly to 2024:

Asset	2023 Ending Accum	2024 Current Depr	Expected 2024 Ending	2024 Accum (per return)	Match?
Building #1	\$1,191,519	\$148,170	\$1,339,689	\$1,339,689	✓
Building #5	\$2,149	\$270	\$2,419	\$2,419	✓
Land Imp #3 (384K)	\$225,132	\$22,718	\$247,850	\$247,850	✓
Land Imp #3 (114K)	\$2,220	\$551	\$2,771	\$2,771	✓

The depreciation schedules are internally consistent across both years.

Section 2 — Cost Segregation Study Coverage

The CSSI study covers only the **site improvements** portion of the property, totaling **\$806,490.90**. The study allocates this amount across four tax return asset numbers using a uniform pro-rata ratio of **15.6212%** applied to the tax return basis of each covered asset.

Asset #	Description	Tax Return Basis	Study Amount	Pro-Rata Ratio
#1	Building	\$4,074,676	\$636,512.99	15.6212%
#3	Land Improvements	\$384,403	\$60,048.41	15.6212%
#5	Building	\$7,421	\$1,159.28	15.6212%
#9	Equipment	\$12,872	\$108,770.22	845.01% ⚠
Total			\$806,490.90	

Section 3 — Finding #1: Asset #9 Equipment — Wrong Basis Used (CRITICAL)

The study allocated **\$108,770.22** to Asset #9 Equipment. However, Asset #9 on the tax return has an unadjusted cost basis of only **\$12,872**.

Applying the same 15.6212% pro-rata ratio to Asset #9’s actual basis yields:

$12,872 \times 15.62122,010.76^{**}$

The study’s amount of 108,770.22 is **106,759.46 too high** — a difference of 8.45%.

Root Cause: The study applied the 15.6212% ratio to **Asset #4 Equipment (696,299)** rather than **Asset #9 Equipment (12,872)**:

$696,299 \times 15.6212108,770.21^{**} \checkmark$ (matches study to within \$0.01)

	Correct (Asset #9)	Study Used (Asset #4)	Overstatement
Basis applied	\$12,872	\$696,299	\$683,427
Pro-rata amount	\$2,010.76	\$108,770.22	\$106,759.46

Impact: The study overstates the reclassified equipment basis by **\$106,759.46**. If used as the basis for a Form 3115 catch-up adjustment, this will result in an inflated Section 481(a) deduction.

Section 4 — Finding #2: Asset #4 Equipment — Entirely Excluded (HIGH)

Asset #4 Equipment (\$696,299, 200DB 5-year, placed 12/17/2015) does **not appear anywhere** in the cost segregation study. This is significant because:

- 1. Asset #4 is the **largest equipment asset** on the return (696, 299*vs.*12,872 for Asset #9).
- 2. The study's equipment amount (\$108,770.22) is mathematically derived from **Asset #4's basis**, not Asset #9's — confirming that CSSI intended to cover Asset #4 but mislabeled it as Asset #9.
- 3. Asset #4 is **fully depreciated** on the current return (0*current – year**deduction*,673,089 accumulated). However, a cost segregation reclassification could still affect the Form 3115 catch-up calculation by changing the prior-year depreciation amounts that would have been taken under the new classification.

Section 5 — Finding #3: Asset #3 Land Improvements — Split Across Two Lines (MODERATE)

Asset #3 (Land Improvements) appears on **two separate lines** in both the 2023 and 2024 returns:

Line	Basis	2023 Depr	2024 Depr	Notes
Line 1	\$114,365	\$560	\$551	Declining — near end of 15-year life
Line 2	\$384,403	\$22,680	\$22,718	Stable 150DB
Combined	\$498,768	\$23,240	\$23,269	

The cost segregation study covers Asset #3 for only **\$60,048.41** — which is 15.6212% of the **\$384,403** line only. The \$114,365 line is not addressed by the study at all.

Combined coverage: 60, 048.41 ÷ 498,768 = **12.04%** of total Asset #3 basis is covered by the study.

This should be confirmed with CSSI: was the \$114,365 line intentionally excluded, or was it overlooked?

Section 6 — Finding #4: Study Covers Only 15% of Total Depreciable Basis (INFORMATIONAL)

The study's total allocation of 806, 490.90*representsonly * *15.025,370,462*). The remaining 85% — including the full building construction costs for all 26 structures (\$4M+) — was not analyzed.

Category	Amount	% of Total
Assets covered by study	\$806,490.90	15.02%
Assets NOT covered by study	\$4,563,971.10	84.98%
Total depreciable basis	\$5,370,462.00	100.00%

This may be intentional (study scoped to site improvements only), but should be confirmed with CSSI.

Section 7 — Summary of All Findings

#	Issue	Severity	Action Required
1	Asset #9 Equipment: study used Asset #4's basis (696,299) instead of Asset #9's basis (12,872), overstating the study amount by \$106,759	Critical	Contact CSSI to correct. Asset #9 should be 2,010.76, <i>not</i> 108,770.22. Do not file Form 3115 until corrected.
2	Asset #4 Equipment (\$696,299) is entirely absent from the study	High	Confirm with CSSI whether Asset #4 was intentionally excluded or is the asset that should have been labeled #9. If excluded in error, request a revised study.
3	Asset #3 Land Improvements split across two lines (114,365+384,403); study covers only the \$384,403 line	Moderate	Confirm with CSSI whether the \$114,365 line was intentionally excluded.
4	Study covers only 15% of total depreciable basis	Informational	Confirm with CSSI that limited scope (site improvements only) was intentional.

Appendix A — Pro-Rata Calculation Verification

The study uses a uniform pro-rata ratio of **15.6212%** applied to the tax return basis of each covered asset:

Asset	Tax Return Basis	× 15.6212%	Study Amount	Match?
#1 Building	\$4,074,676	\$636,512.99	\$636,512.99	✓
#3 Land Imp (384K line)	\$384,403	\$60,048.41	\$60,048.41	✓
#5 Building	\$7,421	\$1,159.28	\$1,159.28	✓
#4 Equipment	\$696,299	\$108,770.21	\$108,770.22	✓ (labeled as #9)
#9 Equipment	\$12,872	\$2,010.76	—	✗ (not in study)

Appendix B — 2023 Accumulated Depreciation vs. 2024 Beginning Accumulated Depreciation

Both returns are internally consistent. The 2023 ending accumulated depreciation equals the 2024 beginning accumulated depreciation for all assets, confirming no restatements or adjustments were made between years.

Asset	2023 Ending Accum	2024 Beginning Accum	Consistent?
#12 LAND IMP 754 MT	\$371	\$371	✓
#13 BUILDING 754 MT	\$1,849	\$1,849	✓
#3 Land Imp (114K)	\$2,220	\$2,220	✓
#3 Land Imp (384K)	\$225,132	\$225,132	✓
#1 Building	\$1,191,519	\$1,191,519	✓
#5 Building	\$2,149	\$2,149	✓
#4 Equipment	\$673,089	\$673,089	✓
#9 Equipment	\$673,089	\$673,089	✓
#6 Org Costs	\$5,179	\$5,179	✓
#10 Loan Fees	\$46,333	\$46,333	✓
Grand Total	\$2,145,621	\$2,145,621	✓

This report was prepared based on the 2023 and 2024 Grace Townhomes Federal Tax Returns and the CSSI Cost Segregation Study dated April 1, 2026. All figures are sourced directly from those documents. This report does not constitute tax advice.